

Q2 2023 Earnings Call

Company Participants

- Andy Hargreaves, Vice President, Finance and Investor Relations
- Ravi Inukonda, Chief Financial Officer
- Tony Xu, Co-Founder, Chief Executive Officer & Chair

Other Participants

- Analyst
- Brian Nowak, Morgan Stanley
- Deepak Mathivanan, Wolfe Research
- Eric Sheridan, Goldman Sachs
- Lloyd Walmsley, UBS
- Mark Mahaney, Evercore
- Michael McGovern, Bank of America
- Nikhil Devnani, Bernstein
- Ronald Josey, Citi
- Ross Sandler, Barclays
- Youssef Squali, Truist Securities

Presentation

Operator

Good afternoon, and welcome to the DoorDash Second Quarter 2023 Earnings Call. My name is Brianna, and I will be your conference operator today. Please note, that this call is being recorded. All lines have been placed on mute to prevent any background noise. After the speakers' remarks, there will be a question-and-answer session. (Operator Instructions).

I will now turn the call over to Andy Hargreaves. You may begin your conference.

Andy Hargreaves {BIO 22556419 <GO>}

Thanks, Brianna. Good afternoon, everyone, and thanks for joining us for our second quarter 2023 earnings call. I'm very pleased to be joined today by Co-Founder, Chair, and CEO, Tony Xu; and CFO, Ravi Inukonda.

We'll be making forward-looking statements during today's call, including our expectations for our business, financial position, operating performance, our market, guidance, strategies, our investment approach, alignment with merchants and Dashers, and the consumer spending environment.

Forward-looking statements are subject to risks and uncertainties that could cause actual results to differ materially from those described. Many of these uncertainties are described in our SEC filings, including Form 10-Ks and 10-Qs. You should not rely on our forward-looking statements as predictions of future events. We disclaim any obligation to update any forward-looking statements, except as required by law.

During this call, we'll discuss certain non-GAAP financial measures. Information regarding our non-GAAP financial measures, including a reconciliation of such non-GAAP measures to the most directly comparable GAAP financial measures may be found in our earnings press release, which

is available on our IR website. These non-GAAP measures should be considered in addition to our GAAP results and are not intended to be a substitute for our GAAP results.

Finally, this call is being audio webcasted on our IR website. An audio replay of the call will be available shortly after the call ends.

Brianna, I'll pass it back to you, and we can take our first question.

Questions And Answers

Operator

(Question And Answer)

Thank you. (Operator Instructions) Your first question comes from Deepak Mathivanan with Wolfe Research. Your line is open.

Q - Deepak Mathivanan {BIO 17464056 <GO>}

Great. Hey, guys. Thanks for taking the question. Maybe one for Tony and one for Ravi. Tony, can you give a little more color on what categories drove the acceleration in U.S. non-restaurant verticals in 2Q? Are there any that are sort of at an inflection point of the F curve where we can expect healthy contribution to growth over the next few quarters?

And then maybe one for Ravi. The illustrative excel calc was very helpful. And can I ask, maybe if you kind of like think about Dash in the context of that, where the company currently is? Do you think you're in year two or year four in the chart? Or maybe ask another way, are you at a place right now where the rate of profitability increase in many different businesses is kind of offsetting the rate of losses, in a few, which could lead to sort of sustained profitability improvement? Or is this sort of a transitory period in which you're looking for signals before you scale investments in many other products? Thanks so much. Any context you can add would be great.

A - Tony Xu {BIO 20536033 <GO>}

Hey, Deepak, it's Tony. I'll take the first one, on growth outside of restaurants. Well, I mean, as hopefully you all saw in our June update, when we celebrated 10 years as a company, we actually rolled out one of our biggest product updates this year. And that really -- one of the featured things that we shipped was actually the launch of both our grocery and retail tabs.

And, I think this is another good example of how we do product development in a very disciplined way, which kind of, I think, aligns a bit to the sentiments behind your second question, where everything effectively is stage gated. And we give, maximum exposure or investment, once we see that they are ready for primetime.

And, I think when it comes to a lot of these categories outside of restaurants, I think, you saw a lot of that growth for us happen in the first couple of years of the pandemic in which we launched with third-party convenience retailers, whether they'd be the likes of Walgreens, CVS, 7-Eleven, and many, many others. But then, over the last 2.5 years, we built a multi-billion-dollar grocery business from scratch. And it was, really ready for primetime exposure. And, that's one of the things that you saw as we now have more non-restaurant stores on the platform in North America versus any other platform, we're growing faster than every other platform and gaining share dramatically in virtually all categories and certainly -- and very specifically also in grocery.

You also see this in retail. We've seen a lot of growth in categories that is even outside of food, whether that be in sporting goods with Dick's Sporting Goods, or office supplies with Office Depot and OfficeMax, or the pet category with PetSmart and Petco, or the health and beauty category with Sephora. So a lot of this is happening and, we found ourselves in a position where, not only where we're seeing very resilient growth in the core U.S. restaurants category at all-time-high frequencies, which gives us just more shots on goal to introduce a lot of these new categories. But we also saw the readiness in terms of product-market fit from a selection, quality of service and affordability perspective when it came to our grocery and our retail offerings. And that's why we made the announcement and why we shipped the features that we did in June.

A - Ravi Inukonda {BIO 19011079 <GO>}

Hey, Deepak, to your second point, maybe taking a step back, right? Like what you're seeing in the business is a combination of a couple of things. One, the growth in the business continues to be very strong. In fact, in Q2, growth actually accelerated compared to Q1. Given the business is positive on a unit economic basis, that's driving some of the upside in EBITDA that you're seeing in the business.

At the same time, our core restaurants business is continuing to improve in terms of overall profitability, as well as both new verticals, as well as international are also becoming efficient when you look at the unit economics year-on-year. That's driving the underlying EBITDA upside that you're seeing in the business. But for us, as you know, it's always important that we are constantly looking to reinvest back in the business. We did that in Q2 as well, which drove some of the upside in growth, as well as the category share gains that Tony talked about.

Two, as I look forward, our goal is to constantly reinvest, because our goal is to build the largest local commerce business possible. And referring back to the chart, right? Ideally, the chart goes on forever because we're always looking to manage efficiently. We're always looking to reinvest back in the business to build the largest local commerce business possible.

Operator

Thank you. Your next question comes from Mark Mahaney with Evercore. Your line is now open.

Q - Mark Mahaney {BIO 3027058 <GO>}

Okay. Let me try two questions. One high-level question for you, Tony. You talked about solving big problems for local commerce. So, could you just sketch out what you think are some of those big problems that you've not yet fully or not yet partially addressed, like logistics and marketing? Like, when you think about those problems beyond that, what do you think are the biggest problems for local commerce?

And then, would you provide any color on -- just talk about Wolt, the acquisition. Here we are a year on in. How do you think that's fair to stick on according to plan, better than plan, the year on in, the positive and the negative surprises you've come across? Thank you very much.

A - Tony Xu {BIO 20536033 <GO>}

Yeah. Hey, Mark. I'll take both of those questions. On the first one, with respect to large problems to solve, I mean, first, I think this probably goes without saying, but I think it's worth repeating, just given the resilience, or continued resilience, I should say, of the strength of the restaurant delivery business. And even though that business has achieved a great deal, it's still a single-digit percentage representation of the U.S. restaurants industry in terms of total sales.

So, I think, I don't want to just skip over some of the businesses that we do run today versus just talk exclusively about the invention of new businesses or solving new problems. So, I think there's still a lot to solve in our core business, which, I believe, has many, many years of runway in it.

And when we talk about some of these new categories, that's obviously, almost starting just many years behind, given the fact that we launched a lot of these new businesses, about two and a half years ago. So, I want to start with, that as context.

But I think when you talk about a lot of local commerce, I mean, let's think about it. I mean, the pandemic, in many ways, was a very alarming and aggressive wake-up call for every business to be an omni-channel business. And I think it, for a period of time, forced physical retailers to exclusively invest in online, because that was the only channel available to them. But I think that as we now kind of -- especially as e-commerce goes back into a bit of the steady-state curve of adoption, I think there's a lot of problems there to solve.

I think that there is -- the world only tends to want to go faster. Customer expectations tend to only go in one direction. When it comes to something like delivery, whether that's, with food or other types of items beyond food, that is only going to, happen at a greater and greater rate. And if you're a physical retailer, you need to think about how you're going to participate in that. And so there's lots of logistical problems we have to solve in order to do that.

And, we're investing, quite tremendously, in building up, certainly these partnerships, but also in a lot of infrastructure so that we can, create the tooling with, products like DashMart such that we can work concurrently with all of these retailers, so that they can actually compete, I think, at the highest scales, with global ambitions. So, I think, that's, a big part of still making sure that last mile delivery can be true, not just for a handful of retailers, but for every retailer, small, medium, and large.

Second and beyond this, there's a lot of tools that now local businesses need to invent. I think a lot of times people think, oh, e-commerce, that's just a website, or that's just a mobile app, and you're done. Well, actually, everything needs to be rethought of, right? For example, if you used to take care of customer support requests inside your store, whether it's a shopping request or a dining request, well, you can't do that anymore if the orders are happening through your digital channel. You're going to have to invent customer service in a different way.

If you're used to, being once very successful buying real estate at the right locations at the right prices, and effectively using that as a way to market, well, that's no longer good enough, and there's going to be many ways in which you're going to have to think about not only attracting customers, but building repeat relationships with all of the customers that you do have. And so, I think there's lots of problems to solve, but, whether that's in logistics, whether that's in customer service, whether that's in -- honestly, every part of what you do now needs to turn from physical to digital. That's what all businesses need to do. So, there's a lot of work, and the roadmap ahead is quite lengthy.

Your second question was about Wolt. In short, Wolt is meeting our expectations, which are really high to start with. I mean, in general, we tend to have very high expectations of ourselves, and I think when you look at the Wolt performance, or the thesis, I should say, starting a couple of years ago, before we closed the partnership a year ago, it was really betting on a world-class team that has achieved the highest retention and order frequency, in other words, built the best product in the world, and whether or not we can keep growing those geographies, which had long runways for growth, as well as take some of their exceptional management and run a global portfolio.

And so those are kind of the two theses involved a couple of years ago. And on the first point of whether or not we can keep growing, I mean, I think you kind of see it in the growth rates. We are growing at multiples of what anyone else is growing internationally, and we're also improving our unit economics at the same time. And so, I think from a business perspective, that's certainly meeting the bar.

The second is more of a management perspective. And what you see there is that, well, actually Miki and the team actually runs all of DoorDash's markets outside of the U.S. And so, I think, we're seeing a very strong start on that front as well, as that team now is taking up a bigger geography, and we now get to split the management bandwidth in the right way so that we can give, international, which is a huge investment area for us, the right single-threaded focus and do the same for our U.S. business as well.

Q - Mark Mahaney {[BIO 3027058](#) <GO>}

Thank you, Tony.

Operator

Your next question comes from Nikhil Devnani with Bernstein. Your line is now open.

Q - Nikhil Devnani {[BIO 21215576](#) <GO>}

Hey there. Thank you for taking the question. I had one on the investment framework as well in the letter. So you mentioned kind of a six-year period of investment and \$1 billion spent on U.S. restaurants before it started to generate some cash. When you look at the investment areas you have today, do you expect them to take longer to return and cost more, because they might be more operationally complex or there's more incumbents? Or do you expect the return to actually be quicker because you've already built a strong network of consumers and Dashers?

And then maybe a second question. Tony, you've talked about people eating 20 to 25 times a week as the opportunity. What's the ceiling, you think, on frequency for your business and kind of the primary constraints between bridging the gap to that point? Thank you.

A - Tony Xu {[BIO 20536033](#) <GO>}

Yeah. All right. Well, Nikhil, maybe I'll take both of those. I think the first is on the, how we think about investments, and the second is really around where we are on frequency and where it can go. On the first, let me just say, we kind of offered a quantitative framework, in the shareholder letter on how we've thought about things, but it was meant as a guide not as something that is just a formula that always can be applied, right? I mean, sometimes these things take judgment.

And so, the answer to your question about, are timelines or investment dollars going to be larger or longer or shorter or I guess less, it really depends on the problem at hand, right? I mean, obviously, we have a benefit of having the largest local commerce audience that has the greatest frequency, which gives us the most shots on goal. But that doesn't mean that we just win de facto. I mean, we have to still build the best-in-class product for each problem that we're trying to solve. And then I think the benefit of the scale will actually, really translate in a way that makes productive sense for all of the audiences. And frankly, generate a great return for everybody.

And so, I don't think there's necessarily one way to think about this. We try our best to apply a first principles approach to each problem. We obviously want to take advantage where we can. But the way we tend to think about this is, first and foremost, how do we solve a problem that -- in a way that is significantly better than how incumbents are doing it today? Make sure that we are

very disciplined in both the product investment as well as the dollar investment in which we stage gate those investments because precious resources, whether it's the attention we can give in our distribution or the dollars that we have in our budget, or frankly, the people that we have working at the company, that's a big consideration. And then the final consideration is whether or not we see an efficient path towards strong long-term economics. And so that's and just in general how we think about it. But I wouldn't over-rotate necessarily on that being the exact formula that we have to repeat over and over again.

Your second question, I think, had to do with frequency and its long-term potential. The short answer is, we continue to see the numbers grow, right? And I think on the one hand, there's a few ways to look at this. I think in your question, I think, you were kind of saying -- well, there's 20 to 25 eating opportunities and shopping opportunities on top of that, but we're talking about north of 100 occasions a month. That's certainly, I think, theoretically max. And I think that's one way to look at it.

We also can look at it from just some -- what -- some of our power users or top defile users are actually doing today. So it's not even a theoretical number. And we think that we can keep growing much, much bigger, I guess, is the short answer. I mean, our top defile users are using our service a very large number of double-digit times, I guess, is what I would say. And so for us, it's thinking about, well, how do we actually graduate people to that? And the answer is, there isn't a silver bullet here, right? It's the combination of the selection of stores, the affordability of the program, the quality of the service, and making sure that we get the efficient -- we can deliver the efficient frontier for each individual user, each individual occasion. And if we can do that, these numbers will continue moving up.

Q - Nikhil Devnani {[BIO 21215576](#) <GO>}

Great. Thanks, Tony.

A - Ravi Inukonda {[BIO 19011079](#) <GO>}

(Multiple Speakers) And just to add to what Tony said, right? Like, our goal is to target -- track our teams for both unit economics as well as volume. We're comfortable with the time frame as long as they're making progress across both of those. And if you look at the results of both of our investment areas, we're growing quite nicely, as well as the unit economics continue to improve. We obviously want to run these businesses efficiently. We're happy with the progress we've made so far.

Q - Nikhil Devnani {[BIO 21215576](#) <GO>}

Great. Thank you both.

Operator

Your next question comes from Ron Josey with Citi. Your line is now open.

Q - Ronald Josey {[BIO 16409770](#) <GO>}

Great. Thanks for taking the question, guys. Maybe two. Tony, I think you mentioned this earlier as well, but just the frequencies at all-time highs and what's traditionally a slower quarter 2Q, just talk about the drivers here and here and now, I guess. More -- is this DashPass users having greater impact, newer cohorts ramping faster, the revamped app, as we talked about. I'm sure it's all of the above. If there's anything to call out, though, that would be interesting on frequency.

And then, Ravi, on contribution profit. I think the press release talked about U.S. restaurant marketplace generating annualized \$2.4 billion in contribution profit this quarter. So, can you just talk about -- and that's essentially all contribution profit for the company, so talk about the margins across non-food. I think convenience, are we sustainably positive there? Talk about grocery, Wolt, any insights there would be helpful. Thank you.

A - Tony Xu {[BIO 20536033](#) <GO>}

Yeah. So, on the first question, in terms of where the growth is coming from. I mean, we're seeing it mainly in two big areas, right? One is users, and the other is the frequency. And you're right, in that there is no one individual driver of this. I mean, DashPass did have a record quarter, so it continues to achieve all-time highs. So you're right. As one of the assumptions that, that was one of the drivers. But we're also just seeing, stronger and stronger cohorts. I think that this is a question at the -- certainly at the beginning of the pandemic and certainly at the beginning of the reopening, or the first reopening in 2021. But I think what you've seen now for 8 to 10 straight quarters, in addition to the output metrics in the, GOV, the revenue, the input metrics we're seeing are, stronger and stronger cohort retention and growth. And that's, a combination of offering the best selection, quality, affordability. The new use cases, to your point, around, non-restaurants certainly adds to it. But there's also improvements in the core restaurants business as well. So I think all of these things is adding to it. But the short answer to your question, what's driving the growth, it's users and frequency.

A - Ravi Inukonda {[BIO 19011079](#) <GO>}

Ron, just a couple of points there on your second question. I mean, the \$2.4 billion contribution, that was the U.S. restaurant's contribution from Q3 of last year. Obviously, that has grown substantially since that point. What we're seeing in the business is as we're continuing to improve the underlying product, whether it's adding more selection, improving the quality of the product, that's driving efficiency of all lines of business.

What we saw this past quarter was, like I mentioned earlier, core restaurants improved in terms of unit economics as well as profitability. Our both new verticals and international areas improved in terms of unit economics.

More specifically, when I look at the new verticals area, last year, we mentioned that third-party convenience was positive on a unit economic basis. It has continued to grow from that point. Both grocery as well as a DashMart, there's been a step change improvement in the unit economics compared to last year.

International business accelerated in the quarter, as well as unit economics improved. Again, all of the unit economic improvement we are seeing is being driven by product innovation. We've driven leverage on DashMart costs. We've driven leverage across credits and refunds, as well as sales and marketing.

Q - Ronald Josey {[BIO 16409770](#) <GO>}

That's great. Thank you, guys.

Operator

Your next question comes from Lloyd Walmsley with UBS. Your line is now open.

Q - Lloyd Walmsley {[BIO 15125459](#) <GO>}

Thanks. Two questions, if I can. Just -- first is following up on Mark's question earlier, can you maybe give us a sense of some of the interesting greenfield investment areas that might be interesting to you all? It seems like maybe there's -- you're open to things that are perhaps less directly adjacent than some of what we've seen already, like advertising or otherwise. Am I misreading that? Anything you can share there?

And then the second one, it just -- it seems like we're in a sweet spot getting healthy growth and good margins. Clearly, core restaurant business firing on all cylinders and good progress on unit economics of the investment areas. But as you showed in your letter, sometimes unit economics are improving a lot, but as you fuel investment behind that, it can be, like, a headwind in an absolute basis. Where are we in that cycle with some of these investment areas? Like, should we expect, while unit economics are getting a lot better, just a step up in investment behind that, that may mute the flow through of that? Like, anything you can share on the kind of medium-term outlook for where we are in that cycle there on existing growth investments? Thanks.

A - Tony Xu {[BIO 20536033](#) <GO>}

Yeah. Maybe I'll take a shot at the first one and maybe say a few things on the second one too, and then I'll ask Ravi to jump in on the second one as well. I think on the first one, I mean, you're right in the saying that there's no exact formula of what are the exact adjacent problems to solve when it comes to unlocking local commerce, right? I mean, I think, if you think about it today, even e-commerce is still a minority of overall retail. And then when you look within local commerce, so the small, medium, and large physical businesses offline that are trying to come online and kind of compete against maybe digital-only or kind of traditional e-commerce players, I mean, they're even further behind, right? And so, our mission has always been to grow and to empower these businesses.

So we have to, on the one hand, build a marketplace that can drive incremental demand at profitable sales. And on the other hand, we have to give them tools. And so some of these tools are related, but at the end of the day it's just -- what does it take to solve the customer's problems? And we think that local businesses can solve a lot of the problems when it comes to consumption that traditional e-commerce businesses solve. And so, we have to just make sure that we can build the tooling to allow them to do that both through their own channel as well as through ours.

I think on the second question, I think, one of the important things here is we certainly are -- there's kind of like two thoughts I have on your question. The first is, we don't get to control when product market fit occurs, right? And so, a lot of the -- even though we would love to have prescribed organizational timelines set around every project with a perfect formula that's exactly replicable across all projects, that's not exactly what the customer cares about. The customer is going to vote with their activity, whether or not we've done a good enough job. And so, for us, sometimes these things are, you move step forward, a couple steps sideways, one step backwards, three steps forward.

And I think that, while -- what we demonstrated in our restaurants business as well as these investment areas is that, when you step back and take a look holistically over a multi-year horizon, you get this nice looking up into the right graph in real life, right? So, I think it's pretty hard sometimes when you're just making investments during the period, especially as you're searching for product market fit to have any prescribed timelines. But on the flip side, it doesn't mean that you have to bet at all in that period of time either, right?

I think a lot of what we're trying to explain in our shareholder letter is just our investment philosophy that we're not just betting at all costs. We're betting when we see signal. And when

we see that signal, do we actually scale? This was true in our product development. We didn't release the grocery. We didn't release maximum exposure to our grocery product until very recently after two and a half years. We didn't do that for our retail categories either. And we don't do that from a dollars and cents perspective on the P&L either.

So I think, when it comes to timeline, I think judgment is quite important. And I think, the most important thing to take away from the shareholder letter is that we have a disciplined way in thinking about how to make these investments.

A - Ravi Inukonda {BIO 19011079 <GO>}

And Lloyd, just to add to, what Tony talked about, right, like your second question. For us, we don't focus on the absolute level of investment in terms of the quantum of dollars. Our philosophy has always been, we goal our teams, we goal our lines of business on two metrics, which is demand in terms of volume growth, as well as unit economics. As long as both of those are progressing in the right direction, according to plan, we're happy to continue to invest. Because the most important thing in our business is scale. And we've seen that in our restaurants business. We've seen that in our third-party convenience business. Our goal is, as long as we're seeing success in terms of volume and the unit economics are continuing to improve, we're going to invest behind our investment areas.

Q - Lloyd Walmsley {BIO 15125459 <GO>}

Yeah. Makes sense. Thank you, guys.

Operator

Your next question comes from Douglas Emes[ph] with J.P. Morgan. Your line is now open.

Q - Analyst

Thanks for taking the questions. A couple just on the Dasher side. Can you just talk about the drivers of lower-than-expected acquisition costs in 2Q? And then, what makes you think those efficiencies may not continue in the back half? And then, with the update recently, any thoughts, early thoughts, I know, but on the flexible pay model for Dashers, and perhaps any discussion around unit economics for you guys? Thanks.

A - Ravi Inukonda {BIO 19011079 <GO>}

Yeah, Doug, I'll take both of those. On the Dasher acquisition cost itself, in any given quarter, there's some volatility in our Dasher acquisition costs, so I wouldn't read too much into it. Let me give you a few examples. In Q1, we under-forecasted volume, so we had to ramp our Dasher acquisition spend in the quarter. That's what we saw in Q1.

In Q2, we saw a couple of things, right? First, the underlying product improvements we made that helped us in terms of Dasher retention. Number two, we also benefited from seasonality where you have college kids come back during the summer. And we see this, every single summer. What we said in our letter is, we expect the product improvements to continue to bear fruit in the second half, but we don't expect the same level of benefit or efficiency from seasonality. But again, I won't read too much into the quarter-to-quarter movement because there's some inherent volatility in Dasher acquisition.

At your second point, the Dasher product changes we made, that was not a financial move for us. For us, it was mostly about offering choice, offering flexibility to Dashers. If you think about our

Dashers, right? Like, Dashers are at different parts of their journey. Some Dashers are new to the platform where they just want to hit the button, go and start earning. There's others who are more experienced that want to pick and choose the orders that they want to go after. For us, it was truly about giving a choice to Dashers to continue to engage with us on the platform, depending on where they are in their journey, less so about a financial move for us. Hopefully that helps?

Q - Analyst

Helpful. Thank you.

Operator

Your next question comes from Brian Nowak from Morgan Stanley. Your line is now open.

Q - Brian Nowak {BIO 16819013 <GO>}

Great. Thanks guys. Maybe two. The first one, can we just sort of talk about your 10-year-old, sort of the oldest, the core U.S. restaurant business. As you sort of think about customers voting with their activity, talk to us about sort of how you break down the forward growth and what you have to invest in to kind of continue to grow that core U.S. restaurant business from here across users, frequency, spend per transaction? How do you continue to get more customers to vote more in that core oldest business?

And then the second one on the grocery, non-restaurant piece in the U.S. Recognize, the new app design is having an impact. When do you think about sort of increasing your marketing to bring new users into the funnel for grocery first? Has that started yet? Or is that something to think about in the back half or in '24? Thanks.

A - Tony Xu {BIO 20536033 <GO>}

Yeah, maybe I can take a shot at both of those. I think on the first question of growing the U.S. restaurants business. Well, I wish it was just one weaver that we'd have to pull. But I mean, we continuously have to work on selection, the quality of the service, the affordability of the programs and our customer support, right? I mean, this is one of these businesses where, I think, it's really easy to make surface level comments about the business, but really the execution happens at the order level. And you have to be better on each one.

And for us, I think, the criteria to be better really goes back to the hallmarks of how we have achieved the scale that we have in the restaurants business in the first place, which is offering the best combination of selection, quality, affordability, and service. And so, there's certainly a lot of things that we have in the books planned for each one of these areas, but that's really, how we always think about building a better product. And we can measure whether or not we're making progress based on our retention and order frequency. And we continue to have the highest retention and order frequency rates amongst any other platform.

The second question, I mean, in some ways, some of this is already happening where we have, to your point, customers may be finding out about DoorDash for the first time through a non-restaurant category, whether that's groceries or pets or flowers or some of the retail categories that we just discussed earlier. Already outside of the restaurant category, we attract more of new customers that are ordering from these non-restaurants for the first time in the industry than any other platform. And I think that's, pretty remarkable, given that a lot of these categories for us

only started about 2.5 years ago, which suggests that some of these activities are actually already happening organically.

Of course, we're investing in some marketing behind this for sure. And especially, as I think we are making the evolution of a -- from being a restaurant delivery product to something that delivers your entire city. We're not there yet. Obviously, we have long ways to go on the selection, the quality, and the affordability. But I think it's encouraging to see that we already attract more new customers into this field than anyone else, and that a lot of customers are coming to us for the first time, not for restaurants.

A - Ravi Inukonda {BIO 19011079 <GO>}

I just like to add to what Tony talked about, right? What we saw in the quarter was growth in both, users as well as order frequency. Order frequency hit an all-time high. It's growing year-on-year. User growth has also been very strong. The way at least we think about it is, if you think about our platform, we have roughly over 30 million active shoppers on the platform any given month. But if you look at that number over the course of the last year, that number is multiples higher. It's just a fraction of the overall users using the platform, right? That tells you the scope of the opportunity on the user growth side.

Order frequency, again, very similar. The blended order frequency across the platform is mid-single digits, off of the base of more than 100 usable movements. So when I look at both of those, the scope of the opportunity in front of us is large. The good news is, again, what moves both is largely the same. It's improving selection, improving quality, making the product more affordable. So when I look ahead, as we are continuing to innovate on the product, I'm confident that we'll drive growth both across users as well as order frequency.

Q - Brian Nowak {BIO 16819013 <GO>}

Thank you both.

Operator

Your next question comes from Eric Sheridan with Goldman Sachs. Your line is now open.

Q - Eric Sheridan {BIO 22465717 <GO>}

Thanks so much for taking the question. In reading the letter and some of the answers so far in the call, I just wanted to come back to this concept of signal. You know, if you think about the mix between being a marketplace and being more of a first-party player yourself in local commerce. And what signal you might be looking for when you think about a business like DashMart and thinking about growing geographic footprint or skew diversification inside that business as a potential area for investment over the medium to long term to be a larger, more scaled IP player against the local commerce opportunity? Thanks.

A - Tony Xu {BIO 20536033 <GO>}

Yeah. So, Eric, I'll take that. I think it's, important to start with the context of why we even are investing in some of our IP efforts in the first place, which really comes back to this capability point of making sure that we can enable every small, medium, and large physical business to compete effectively and efficiently in the digital world. And at the end of the day, what we're trying to build, ultimately, is a product that can deliver you everything from your city, exactly what you ordered, and at around the same price that you would have paid yourself to do that service.

But today, that's not where status quo is, right, in terms of, I think, any product that delivers anything outside of restaurants for sure.

And so, that's kind of why we invested in DashMarts in the first place. And so, it's always in concert of, with -- in partnership, excuse me -- with our merchant partners of how to make sure that something like DashMart can be a useful service for them. It's not necessarily signal of, oh, is our 1P now going to take a bigger portion. It's actually instead learning how to do it really well, such that when we work with these third parties and think about inventing some products for the future, that this could be one capability set in our back pocket.

Q - Eric Sheridan {[BIO 22465717](#) <GO>}

All right. Thanks, Tony.

Operator

Your next question comes from Ross Sandler with Barclays. Your line is now open.

Q - Ross Sandler {[BIO 15948659](#) <GO>}

Thanks, guys. First of all, shout out to Andy or Ravi or whoever's idea was to put the SPC-table at the bottom of the letter. Appreciate that. But my question, Tony, is about DashPass. So you guys were, I think, the first in the industry to roll out subscription. And it obviously drives a huge amount of value. But now we're at the point in the industry where it's maturing and there's a lot of other subscription services from folks that compete with you guys in grocery, folks that compete with you guys in restaurant, e-commerce companies that compete with you guys.

So, as you look out into the future of DashPass, do you feel like selection and your advantage in selection is enough to continue to differentiate? Or do you think you'll need to add different things to the bundle, whether that be like physical retail or, I don't know, digital services, etcetera, to continue to differentiate DashPass? Any thoughts on that? Thanks a lot.

A - Tony Xu {[BIO 20536033](#) <GO>}

Yeah. So, there is -- I mean, customer expectations always go in one direction, right? I think I've said this plenty of times, and I think that goes for subscription programs too. But the other thing that goes for subscription programs is the most important thing is usage, right? You want to -- Subscription programs that are really successful are those that get used the most often, which is what drives the value, right? And sometimes that's measured in dollars and cents that -- sometimes that's measured in time spent on a service and/or time saved from a service and etcetera, right? And so, for us, I don't think it's necessarily one advantage, right? I wish, if it were just one advantage then it'd actually be quite easy to invest from a product perspective, but it's always been thinking about the selection, the quality, the affordability of the program such that we can drive the north star of usage.

And so, we're going to always have to invest to make sure that our products are getting used the most. I think the benefit for us is that, the category that we started in eating, which we've talked about on this call for a bit is, is the largest and most frequent, which means that it does have the largest usage from both, I think, how people think about spending their discretionary income to just what they do physically to survive. And so, I think, that was a very natural, candidly reason why we started in the restaurant delivery category.

But as we expand and try to be more useful to the cities that we operate in and all of the different types of categories of retail that we participate with, we're going to have to keep

thinking about investing more into things that will continue to drive the usage of our subscription programs, which is ultimately what will drive the value of DashPass.

A - Ravi Inukonda {[BIO 19011079](#) <GO>}

And, Ross, just to add to what Tony said, right, like what we're seeing in the businesses as we're continuing to improve the selection and the quality of the business, that's driving MAUs. These MAUs are regaining at a higher rate. They're ordering more. As they order more, they habituate on the platform and graduate to DashPass. In fact, if you look at Q2, DashPass had a record quarter where subscribers grew not just quarterly but on an annual basis. It was one of the best quarters ever for DashPass for us.

Q - Ross Sandler {[BIO 15948659](#) <GO>}

Thank you.

Operator

Your next question comes from Michael McGovern with Bank of America. Your line is now open.

Q - Michael McGovern {[BIO 1537591](#) <GO>}

Hey, guys. Thanks for taking my question. Just maybe a couple for Ravi on guidance. Looks like even at the upper end of guidance for Q3, we're expecting a little bit of a quarter-on-quarter drop in GOV, so I'm just curious, is that just seasonality? Or anything else to point out there for the quarter-on-quarter drop?

And then second question, if I take the upper end of guidance between Q3 and the full year, looks like Q4's EBITDA profit and margin will be higher in Q4 than at any other point in the year. So just in that upside scenario, hitting the upper end of guidance, what are some of the factors that contribute to that?

A - Ravi Inukonda {[BIO 19011079](#) <GO>}

Yeah, Mike, I'll take both of those, right? Like, on the guidance point itself, I mean, what we're seeing in the business is, A, obviously consumer spending continues to be strong. The underlying cohorts continue to be very stable. That's what's giving us confidence to, first of all, bump up the GOV guide for the rest of the year. What you're noticing in Q3 is, normal seasonality that we largely see every year. There's nothing more to that outside of seasonality.

In terms of, EBITDA guidance. I mean, again, like I said earlier, right, the combination of continued improvement in growth, for us, the overall business is positive on an unit economic basis. Q4 growth is higher than Q3. You're going to see some upside in EBITDA flow through.

Number two, the product improvements that we're making is continuing to drive efficiency. But again, important to remember, right, like we're constantly looking to reinvest back in the business. And if we have good opportunities to invest, we're going to continue to drive efficient growth as long as we can stay within our discipline parameters.

Q - Michael McGovern {[BIO 1537591](#) <GO>}

Got it. Thank you.

Operator

So our next question comes from Youssef Squali with Truist. Your line is now open.

Q - Youssef Squali {[BIO 1506420](#) <GO>}

Excellent. Thank you so much. So maybe, Tony, going back to the investment letter and the framework that you're putting out there. Outside of customers and Dashers and the network that, that creates, which arguably super powerful. Can you maybe talk about core competencies that you believe that you're kind of leveraging just better than anybody else out there that kind of gives you this potential compare -- unfair competitive advantage that's allowing you to grow so much faster?

And then, Ravi, I think you talked or you mentioned that your GOV -- your aggregate GOV accelerated year-on-year. Was that -- is that statement true for U.S. GOV as well? Thank you.

A - Tony Xu {[BIO 20536033](#) <GO>}

Yeah. So, on the first question, I think, there's a -- there's basically like a timeline or sequencing, if you will, as to how to arrive at the answer to your question, which is first, when it comes to building a product from the very beginning, the -- what allows that product to grow faster relative to someone else's is, whether or not we solve a customer's problems better, right?

And I think, what's hard to see in this business is that it's really a combination of things that a customer is asking us to solve. They're asking us to make sure we can get the right stores and the right items from those stores, at the right price point, at the right service level, and obviously, if things go south, that we fix it. And there is no shortcut in many ways, in kind of betting on any one of these factors, you kind of have to be better at the combination. And I think that if you can achieve that, then you kind of have this timeline where after a certain point of scale, it translates into a few structural benefits.

One of those benefits is recall customers kind of come to us first as the eating app. We're working on that to make that true in every country, but in the United States, that's certainly the starting place. And again, when eating is the starting place where you have the most shots on goal, and Ravi talked about the multiples of the 30 million monthly active shoppers who shop with us, once a year. I mean, there's an even bigger number than that, that comes and just opens the app who doesn't shop at all. And so, in many ways, we don't have to acquire any more new customers from external channels. We can just go within our own ecosystem because we started with the largest one, which -- when it comes to consumption, which is eating.

Other benefits come from the scale logistics components that you talked about, right? Knowing how to operate that really efficiently, it's something that continues to compound in terms of giving a natural funding source for other types of investments that we want to make. So, I think, the way I think about this is always, the execution starts first, making sure that we can solve a problem better than someone else can, so that we can create the best product. That's what generates the growth.

And then structurally over time what are the things that actually -- can we actually use the product advantage that we built to generate a structural advantage. And I think you're seeing that in both instances, which is why you've seen the resilience and the growth in the core restaurants business. It's why you've seen faster growth and share gains in these non-restaurant businesses, as well as improving -- or very, very quickly improving unit economics. And that's why we're continued to -- continuing to invest.

A - Ravi Inukonda {[BIO 19011079](#) <GO>}

And Youssef, on your second question. Orders accelerated from Q1 to Q2, not GOV. And if I break it down by the different lines of business, core U.S. restaurants, even at our scale, the order growth was stable. Both new verticals, international, as Tony just mentioned, they both accelerated from Q1 to Q2.

Q - Youssef Squali {BIO 1506420 <GO>}

Got it. Okay. That's helpful. Thank you, both.

Operator

In the interest of time, there will be no further questions. With that, we will conclude today's conference call. Thank you for joining us. You may now disconnect.

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